

optimism or carelessness. It is a reality check, a risk control device designed to help you grow rich slowly but steadily.

There are many techniques and rules of thumb in the market. We are not going into detail about these techniques in this book, as this is a separate and a vast subject in itself.

We are going to study about Portfolio Asset Allocation in detail in one of the upcoming chapters – "Building and Balancing Your Portfolio"

Figure 2.11 shows you a break up of asset allocation for a typical 40 year adult. The asset allocation in Figure 2.11 shows that the equity + real estate part of the portfolio is roughly 60% (25% Equity Stocks + 20% Equity Mutual Funds + 15% Real Estate), which is in line with the 100- Age thumb rule which is a general industry standard.

Again, the asset class break up is a very personal choice and you may or may not follow any thumb rules.

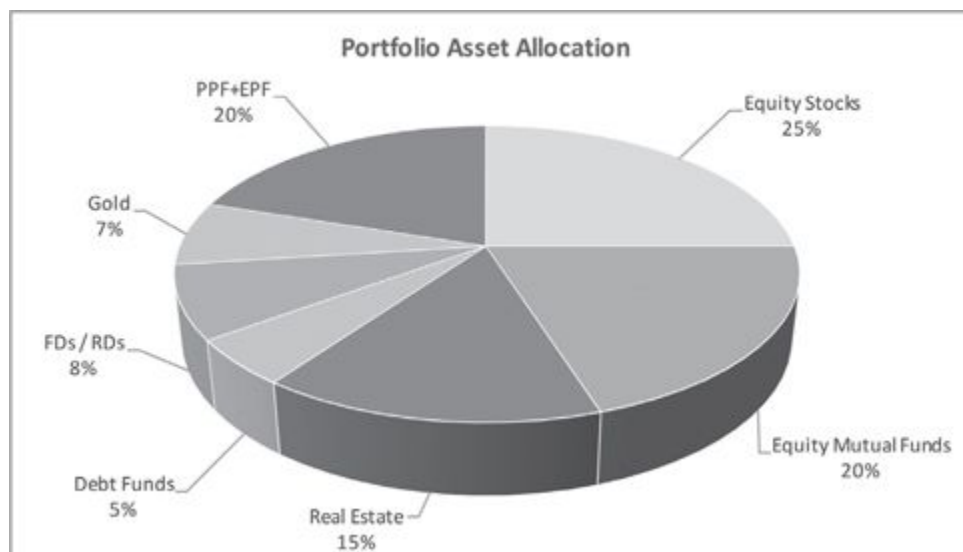


Fig 2.11: Typical Portfolio Asset Allocation for an adult aged 40 years

In most cases, if you stick to the fundamental rules of asset allocation, you need not worry much about which direction the equity market is going on a day to day basis.